

Calendar Lines 2-3

Hearing on Demurrer and Motion to Strike

Case Name: *Evershine I, L.P. v. Com Tam Thien Huong et al.*

Case No.: 26CV484278

**SUPERIOR COURT OF CALIFORNIA
COUNTY OF SANTA CLARA**

Defendants, Com Tam Thien Huong II (“Huong II”), Hien Chung Nguyen (“Nguyen”) and Lin Sau Su (“Su”) (collectively, “Moving Defendants”) demur to each cause of action in plaintiff Evershine I, L.P.’s (“Plaintiff”) complaint on the ground the claims fail to state facts sufficient to constitute a cause of action. (Notice of Demurrer (“Demurrer”) at p. 2:4-13 [filed: April 8, 2026].) Moving Defendants additionally move to strike portions of the complaint. (Notice of Motion to Strike (“Motion”) at pp. 2-3 [filed: April 8, 2026].)

The motions came on for hearing on September 18, 2026, at 9:00 AM in Department 16. After reviewing all the papers and the record, including all authorities submitted by each party, and giving counsel for all parties the full and fair opportunity to be heard, the Court finds and rules as follows:

Factual and Procedural Background

Plaintiff initiated this action against defendants Com Tam Thien Huong dba Pho Thien Huong (“Huong”); Nguyen; Su; Pho Thien Huong Corporation (“Huong Corp.”); Trung Steven H. Ngo (“Ngo”); and Huong II (collectively, “defendants”). According to the allegations of the complaint, Plaintiff owns and leases commercial property (“Subject Property”) located in San Jose, California. (Complaint, ¶ 1.) Huong, Huong Corp., and Huong II were Tenants of the Subject Property. (Complaint, ¶ 10.) Nguyen and Su executed a personal guaranty of the Tenants’ lease obligations regarding the Subject Property. (Complaint, ¶¶ 3-4.)

On June 18, 2008, Plaintiff entered into a lease (“the Lease”) with Ket Van Huynh, dba Phu Sam Restaurant for commercial space located at the Subject Property. (Complaint, ¶ 16.) The Lease was for 4 years, from July 1, 2010 to June 30, 2014. (*Ibid.*; Ex. A.) On March 7, 2014, Plaintiff and Huong entered into the assignment of the Lease (“the Assignment”) and all rights under the Lease were assigned by Phu Sam Restaurant and assumed by Huong and effective from May 2014 to October 2019. (Complaint, ¶ 17; Ex. B.) Also on March 7, 2014, moving defendants Nguyen and Su entered into a Guaranty of Lease that unconditionally guaranteed the full performance of Huong’s obligations under the Lease. (Complaint, ¶ 18.)

On December 6, 2017, Ngo, Nguyen, Huong II submitted a lease proposal to Plaintiff to operate the sandwich business out of the Subject Property. (Complaint, ¶ 27.) After the Lease expired in October 2019, Tenants continued occupying the Subject Property on a month-to-month basis through May 2024 at a rate of \$13,507.80 per month, plus operating expenses, but did not pay any holdover rent. (Complaint, ¶ 28.) Despite lease proposals, Tenants refused to execute an amended lease with Plaintiff. (Complaint, ¶¶ 29, 30.)

On May 2, 2024, without any notice, permit, or consent, defendants conducted extensive demolition work at the Subject Property. (Complaint, ¶ 31.) On May 13, 2024, the landlord conducted an inspection of the Subject Property with Nguyen and documented the extensive damage caused by the unauthorized demolition. (Complaint, ¶ 32.) On May 17, 2024, Plaintiff’s counsel sent Tenants notice of breach of lease and a demand for rent payment and Tenants’ counsel responded with a demand that Plaintiff return a portion of the security deposit. (Complaint, ¶ 33; Ex. C.)

On June 6, 2024, Tenants vacated the Subject Property with \$550,00 in damages. (Complaint, ¶ 34.) Tenants additionally failed to pay rent in May and June 2024. (Complaint, ¶ 35.) On October 3, 2024, Plaintiff's counsel sent Tenants' counsel a Notice of Default and Continuing Breach of Lease but Tenants and Guarantors have failed to honor their obligations under the Lease and Guaranty. (Complaint, ¶ 36; Ex. D.)

On January 12, 2026, Plaintiff initiated this action, asserting the following claims:

- 1) Breach of Commercial Lease;
- 2) Breach of Personal Guaranty; and
- 3) Conversion.

On April 8, 2026, Moving Defendants filed a demurrer and motion to strike portions of the complaint. Plaintiff opposes the motion.

Demurrer

I. Legal Standard on Demurrer

In ruling on a demurrer, the Court treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318 (*Blank*).) “A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.)

II. Second Cause of Action: Breach of Personal Guaranty

“A lender is entitled to judgment on a breach of guaranty claim based upon undisputed evidence that (1) there is a valid guaranty, (2) the borrower has defaulted, and (3) the guarantor failed to perform under the guaranty.” (*Grayl CPB, LLC v. Kolodotronis* (2011) 202 Cal.App.4th 480, 486 citing *Torrey Pines Bank v. Superior Court* (1986) 216 Cal.App.3d 813, 819.)

Moving Defendants contend that the second claim fails because there was no extension of the Lease beyond October 31, 2019, and therefore, the Guaranty is not effective. (Demurrer, p. 6:10-13.) In opposition, Plaintiff argues that the Guaranty remained in effect during lease modifications such as lease extensions and month-to-month holdover periods. (Opposition, p. 5:7-9, citing *Central Building, LLC v. Cooper* (2005) 127 Cal.App.4th 1053, 1060-1061 (*Cooper*).)¹

Here, the plain language of Article 4 of the Assignment, states: “As a condition to allow Assignee to assume the Lease, Assignee has included the attached Guarantor as provided in Exhibit B **through the natural expiration of the Lease**, which is July 31, 2014 **and any extensions thereof**.” (Complaint, Ex. B, Article 4 [emphasis added].) Nguyen and Su are listed as the guarantors under the Assignment. (*Id.* at Article 7.) Further, the Assignment includes an Exhibit B – Guaranty of Lease, which includes the following language: “for and in consideration of the execution of the Lease by Landlord and as a material inducement to Landlord to execute said Lease, Guarantor hereby unconditionally and irrevocably guaranties the performance by Assignee of each and every one of the terms, conditions and covenants of the Lease to be kept and performed by Assignee **during the term of the Lease** (including,

¹ The opposition incorrectly cites 177 Cal.App.4th 1053, 1060-1061.

without limitation, the payment by Assignee of all Rentals (as defined below) and other sums payable by Assignee under the Lease) . . .” (Complaint, Ex. B [emphasis added].) Finally, the Guaranty of Lease states: “Guarantor’s liability under this Guaranty shall continue until all Rentals **and other sums due during the term of the Lease** have been paid in full and until all other obligations to Landlord have been satisfied.” (*Ibid.*)

In this case, the alleged conduct that violated the Lease/the Assignment occurred after the Lease term ended in October 2019. (See Complaint, ¶¶ 30-33.) The conduct included: extensive demolition work and failing to pay rent in May and June 2024. (See Complaint, ¶¶ 31, 32, 34, 35.) With that said, the Assignment also states that the Lease/Assignment still applies to a month-to-month tenancy:

17.4. Holding Over. If Tenant, with Landlord's consent, remains in possession of the Premises after expiration of the term, or extension thereof, such possession by Tenant shall be deemed to be a month-to-month tenancy terminable on 30 days notice given at any time by either party. **All provisions of this Lease**, except those pertaining to term, and option to extend, **shall apply to the month-to-month tenancy**, provided that the minimum monthly rent shall be two hundred percent (200%) of the minimum monthly rent in effect immediately prior to said expiration.

(See Complaint, Ex. A, § 17.4 [emphasis added]; *Cooper, supra*, 127 Cal.App.4th at p. 1058 [“When a guaranty agreement incorporates another contract, the two documents are read together and construed fairly and reasonably as a whole according to the intention of the parties.”][internal quotations omitted].)

In their demurrer, Moving Defendants argue that, “absent very clear language,” the month-to-month tenancy is not an extension of the lease and should not be considered a holdover. (Demurrer, p. 7:6-9, citing Civ. Code § 1945; *Bloom v. Bender* (1957) 48 Cal.2d 793, 798 (*Bloom*).) *Bloom* is inapposite. There, the Supreme Court addressed, in part, whether the running of statute of limitations against a principal bars the action against the guarantor, and determined that “in California, the obligation of defendant on her continuing guarantee is not barred merely because the statute of limitations had run against the obligation of the principal debtor[.]” (*Bloom, supra*, 798.) Civil Code section 1945 indicates that a holding over is a continuation of possession under the lease. (See *Knox v. Wolfe* (1946) 73 Cal.App.2d 494, 502.) Further, many California courts hold that an “extension” is a continuation in possession under the lease, after notice under its provisions. (See *Oryx Energy Co. v. County of Kern* (1993) 17 Cal.App.4th 48, 59.) However, whether the Lease was extended is a question of fact not properly decided on demurrer.

Thus, based on the language of the agreements at issue, and the allegations of the pleading, Plaintiff sufficiently alleges a claim for breach of personal guaranty. (See *Bader v. Anderson* (2009) 179 Cal.App.4th 775, 787 [“In considering the merits of a demurrer, the facts alleged in the pleading are deemed true . . .”].)

Accordingly, the demurrer to the second cause of action is **OVERRULED**.

III. First and Third Causes of Action

Moving Defendants next argue that the Complaint fails to allege facts to support any claim against Huong II because the alter ego allegations are insufficient. (Demurrer, p. 9:22-26.)

When pleading alter ego liability, particularity is not required; instead, it is sufficient for a plaintiff to plead (1) such a unity of interest and ownership that the separate personalities of the corporation and the individuals do not exist, and (2) an inequity will result if the corporate entity is treated as the sole actor. (See *Stodd v. Goldberger* (1977) 73 Cal.App.3d

827, 832.) Therefore, a party is only required to allege ultimate rather than evidentiary facts in support of an alter ego theory. (*Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 236.)

In opposition, Plaintiff argues that the pleading alleges: 1) Huong II submitted a lease proposal on behalf of Huong Corp. concerning operation of the Subject Property; 2) defendants acted as agents, representatives, servants, employees, and associates of one another; 3) defendants operated as alter egos of one another; and 4) defendants collectively participated in the conduct giving rise to Plaintiff's damages. (Opposition, p. 9:14-20.)

The Court finds Plaintiff's argument persuasive. First, the claims against Huong II do not merely rely on alter ego liability. Furthermore, the pleading refers to Huong II as one of the "Tenants" and there are numerous allegations throughout the Complaint related to the Tenants. (E.g., Complaint, ¶¶ 10, 28, 32, 34, 35.)

The demurrer to the first and third causes of action is **OVERULED**.

Motion to Strike

IV. Legal Standard on Motion to Strike

A court may strike out any irrelevant, false, or improper matter asserted in a pleading or strike out all or part of any pleading not drawn or filed in conformity with the laws of this state, a court rule, or an order of the court. (Code Civ. Proc., § 436, subd. (a).) The grounds for a motion to strike must appear on the face of the challenged pleading or from any matter of which the court is required to take judicial notice. (Code Civ. Proc., § 437, subd. (a).) In ruling on a motion to strike, a court reads the complaint as a whole, all parts in their context, and assumes the truth of all well-pleaded allegations. (*Clauson v. Superior Ct.* (1998) 67 Cal.App.4th 1253, 1255.)

V. Discussion

Moving Defendants seek to strike the following portions of the Complaint:

- 1) Paragraph 44. ". . . (e) failing to timely pay holdover rent as of November 1, 2019. . ."
- 2) Paragraph 46. ". . . (e) holdover rent from November 1, 2019 through June 30, 2024 estimated to be in excess of \$750,000. . ."
- 3) Paragraph 47. "As a direct and proximate result of Guarantors' breach of the Guaranty, . . . Paragraph 14 of the Guaranty. . ."
- 4) Paragraph 46. ". . . (e) holdover rent from November 1, 2019 through June 30, 2024 estimated to be in excess of \$750,000 . . ."

Moving Defendants arguments in support of their motion to strike are essentially the same as those raised in their demurrer. Given the Court's ruling above, the motion to strike is **DENIED** in its entirety.

Conclusion and Order

The demurrer to the first, second, and third causes of action is **OVERRULED**. The motion to strike Items 1-4 is **DENIED**.

SO ORDERED.

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Motion For Order to Comply with Deposition Subpoena

Case Number: 23CV415280

Haghighi v. City of Mt View et al.

SUPERIOR COURT OF CALIFORNIA

COUNTY OF SANTA CLARA

The Motion of Defendants Mountain View Los Altos Union High School District, Nellie Meyer, Kip Glazer, Marti McGuirk, Achilles Walker, and the other moving Defendants for an order compelling compliance with a deposition subpoena for production of business records and for monetary sanctions came on for hearing before the Court. Having considered the motion, supporting papers, opposition, if any, reply, the records and files in this action, and the arguments of counsel, the Court rules as follows:

I. Plaintiff Has Placed His Mental and Emotional Condition at Issue

Plaintiff alleges that Defendants' conduct caused him substantial mental and emotional injuries. His operative complaint affirmatively alleges anxiety, stress, psychological discomfort, impaired sleep, emotional trauma, embarrassment, helplessness, isolation, and other claimed psychological and emotional harm. Plaintiff further alleges that this emotional and psychological harm constitutes damages resulting from Defendants' alleged conduct.

By affirmatively placing his mental and emotional condition at issue, Plaintiff has placed the nature and extent of those conditions, their causation, and the treatment he received for them at issue in this litigation.

Evidence Code section 1016, subdivision (a), provides that there is no privilege as to a communication relevant to an issue concerning the patient's mental or emotional condition if that issue has been tendered by the patient. The Court therefore finds that Plaintiff has tendered his mental and emotional condition as an issue in this action and that the psychotherapist-patient privilege does not preclude discovery of treatment records that are relevant to the claims and damages Plaintiff has placed at issue.